EXECUTIVE SUMMARY

1. Introduction

The Municipality of Abulug lies along the northwestern part of the province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

The audit covered the accounts and operations of the Municipality of Abulug for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020, were P445,737,992.91, 124,860,025.33 and 320,877,967.58, with an increase/(decrease) of 12.42%, 18.51% and 10.22% respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P145,949,953.21 and 124,964,047.95, which increase by 12.36% and 9.31% respectively from last year's figures.

Particulars	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	445,737,992.91	396,488,332.90	49,249,660.01	12.42%
Liabilities	124,860,025.33	105,359,802.89	19,500,222.44	18.51%
Government Equity	320,877,967.58	291,128,530.01	29,749,437.57	10.22%
Financial Performance				
Income	145,949,953.21	129,899,901.10	16,050,052.11	12.36%
Expenses	124,964,047.95	114,319,571.04	10,644,476.91	9.31%
Appropriations, Allotments and Obligations				
Appropriations	153,094,380.00	131,491,279.00	21,603,101.00	16.43%
Allotments	149,667,897.33	127,197,718.79	22,470,178.54	17.67%
Obligations	140,875,424.89	117,990,546.25	22,884,878.64	19.40%

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Abulug, Cagayan as at December 31, 2020.

4. Summary of Significant Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. **The Municipality of Abulug did not create special account in the general fund (SAGF) on the Bayanihan Grant to Cities and Municipalities (BGCM) amounting to P10,578,549.00 which was not in accordance with Local Budget Circular No. 125, thus, financial information needed to monitor fund utilization was not readily available.**

   We recommended that Management strictly adhere to the rules and regulations on the creation of special accounts in the General Fund and direct the Accountant to maintain special account for the BGCM and make necessary adjustments on the accounts affected for fair presentation in the books of the municipality and for easy monitoring of the fund utilization.

2. **Fund Transfers for various projects, programs and activities (PPAs) from the Department of Health (DOH) amounting to P5,529,198.94 remained unutilized notwithstanding the urgent need and nature of the fund and the specific purpose for its release thus, depriving the beneficiaries of the immediate benefit from the intended purpose.**

   We recommended that the Local Government Unit fast track the implementation of the programs for the fund transfers since the resources are readily available, and in order not to deprive the constituents of the benefits from PPAs where the funds are intended for.

3. **Collections from market stall rentals in the amount of P2,021,605.00 were recorded as Trust Liabilities in the Trust Fund books instead of income from markets in the General Fund book as prescribed by existing rules and regulations, hence the affected accounts were not presented fairly in the books of accounts in the municipality.**

   We recommended management to record all subsequent collections from market rentals in the General Fund Books of the municipality in accordance with Section 313 of R. A. 7160, and restore to said Fund the amount of P2,021.605.00

representing Trust Liabilities-Public Market Collections previously transferred to the Trust Fund, for proper accounting and fund utilization.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	P471,891.24				P471,891.24
Current Year	-				-
Total	**P471,891.24**				**P471,891.24**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Year's Audit Recommendations

Out of three (3) audit recommendations of prior year's, one (1) was fully implemented, one (1) was partially implemented and one (1) was not implemented.